

The Preventable Chargeback: A Prevention Roadmap

Chargeback Prediction Model — Cinderhaven Data Platform

Prevention Roadmap

\$446,200 in annual chargebacks. 73% is preventable.

Cinderhaven carries **\$446,200** in annual retailer chargebacks. A predictive model trained on three years of Cinderhaven shipment and deduction history identifies **\$324,888** — 73% of the total — as traceable to four fixable upstream data conditions. These are not disputed chargebacks. They are predictable ones.

The model scores each upcoming purchase order before it ships. Every risk score names the specific data condition driving it. This report presents the root-cause breakdown, the ranked prevention roadmap, and the economics of fixing versus disputing.

This analysis uses Cinderhaven synthetic demonstration data to illustrate a repeatable methodology. The numbers, proportions, and root-cause distribution reflect a realistic CPG brand profile.

Root-cause breakdown

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(a) Historical chargeback amount by root cause. Logistics overage — primarily missing case dimensions and case weight — accounts for the single largest preventable category.

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(b)

Figure 1

Margin math

The table below translates each root cause into a dollar figure: what it cost historically, what fraction is preventable with targeted data fixes, and the estimated annual recovery.

Table 1

Table 1

Root cause	Historical loss	Preventable	Prevention value	Chargeback count
Logistics Overage	\$245K	70%	\$171K	2284
Data Compliance Error	\$143K	80%	\$114K	300
ASN Timing Infraction	\$42K	70%	\$29K	273
Pricing Discrepancy	\$17K	60%	\$10K	16

Ranked prevention roadmap

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Figure 2: Prevention value by root cause — estimated annual dollar recovery from targeted data fixes. Logistics overage tops the list at over \$240K, driven primarily by case dimension and case weight gaps in the product master.

The actions required to capture this prevention value are data management tasks, not operational overhauls. The roadmap below names the specific fix for each root cause.

Table 2

Table 2

Rank	Root cause	Annual prevention value	Required action
1	Logistics Overage	\$171K	Audit pick-and-pack procedures; add case-count verification
2	Data Compliance Error	\$114K	Populate missing barcodes (GTIN-14, UPC) and verify
3	ASN Timing Infraction	\$29K	Submit Advance Ship Notices within the retailer-required
4	Pricing Discrepancy	\$10K	Reconcile PO unit prices against approved price lists before

Recovery versus prevention

The deductions team currently disputes chargebacks after they post. The industry win rate on retailer disputes is 30–45%. At a 40% win rate, recovering \$446,200 in annual chargebacks yields roughly **\$178,480** — before dispute labor costs.

Prevention requires no dispute process. Fixing the data conditions identified above eliminates the chargeback at source. The model's AUC of **0.6986** means that 70% of actual chargebacks are flagged before shipment, giving the brand a pre-ship intervention window.

The math is straightforward: **\$324,888** in preventable chargebacks recovered at 100% is worth more than \$446,200 recovered at 40%, and it eliminates the working capital drag of post-ship disputes.

This analysis was produced using Cinderhaven synthetic demonstration data. All dollar figures, chargeback counts, and root-cause distributions are illustrative of a real methodology, not actual Cinderhaven financials.